

The Rise of Berkeley's Housing Market: An Analysis of Local and Regional Factors

The ongoing rise in home prices in Berkeley is influenced by a combination of local, regional, and national supply and demand factors, all of which impact the housing market. Locally, the market is affected by an oversaturation of existing homes (due to a lack of new construction) and a costly, time-consuming permitting process. Regionally and nationally, long-term job and economic growth in the Bay Area, coupled with sustained high interest rates, also play significant roles. This article will specifically focus on single-family homes.

New developments in Berkeley must first receive zoning approval from the city, a process that can take several years. Once approval is granted, developers can submit building plans for city review, which may take an additional year. However, in recent years, rising interest rates and increasing architecture costs have led some developers to delay submitting building plans, preferring to wait until they have secured full funding for their projects. This hesitation is largely due to the high price of architecture and entitlements (e.g., soils reports, surveys, and structural engineering), which can comprise up to 10% of construction costs. As a result, developers may fall victim to a sunk cost fallacy, feeling pressured to complete projects once plans are submitted (Savidge and Markovich 2024; Dubey 2024).

Berkeley's housing market has continued to diverge from both national and typical California trends. Although Oscar Wei, deputy chief economist at the California Association of Realtors, notes that median home prices in Berkeley have decreased in recent years (down 6% from 2023, and 20% from their peak in 2022), he maintains that prices will continue to rise due to a "tight"

market. In this context, a "tight" market refers to one in which demand exceeds supply. In the case of Berkeley, the demand for single-family homes exceeds the available supply, driving prices upward (Yoshimoto 2024).

Recently, Berkeley has experienced a decline in home inventory, particularly among single-family homes. One potential reason for this drop is the city's ongoing resistance to new developments. The slowdown in new construction has led to fewer homes available for sale, exacerbating the shortage. As of this writing, only two brand-new single-family homes are listed for sale in Berkeley. This limited supply has contributed to a highly competitive market, especially as less than 0.5% of homes in Berkeley have been built in the past five years, and less than 10% have been built in the past 20 years (Leonard 2023; Zillow 2024).

Most prospective homebuyers in Berkeley seek properties that will appreciate or at least maintain their value. As home appreciation—the increase in a property's value—becomes more rare, the competition for these properties intensifies, further driving up prices (Ziraldo 2024).

Defining equilibrium price and quantity in the Berkeley housing market is complex due to the wide variety of housing types and configurations. For simplicity, we can consider the median sale price of homes as a proxy for equilibrium price. While this simplification overlooks variations in housing configurations and other market shifts, it serves as a useful indicator of broader market trends. In July 2024, the median sale price of a home in Berkeley was \$1.45 million, with 55 homes sold at this price—half of them sold for more and half for less (Redfin 2024).

Since the COVID-19 pandemic, interest rates on 30-year fixed-rate mortgages have risen sharply, from below 3% to above 6%. This increase has led to a reduction in demand for these loans,

which are one of the most popular choices for homebuyers. The sharp rise in interest rates coincided with a significant increase in home prices. From December 2019 to April 2022, the median home price in Berkeley rose by nearly \$600,000, peaking in April 2022 before declining somewhat in 2023. This price increase was followed by a drop in demand, as monthly home sales decreased between 2019 and 2020, and then surged in 2021 when mortgage rates were at historic lows (Compass Real Estate 2024; Data Commons 2024; MPA 2024; Redfin 2024).

Homeowners, real estate agents, and contractors in Berkeley are capitalizing on the opportunity to renovate homes. Since many of the homes in the city were built in 1975 or earlier, their market values are relatively low compared to newer homes. By renovating these properties or constructing new homes, homeowners can significantly increase their home's value.

Producer surplus can be understood as the difference between the price at which a producer is willing to sell a good and the price they actually receive. In the Berkeley housing market, we can estimate producer surplus by comparing list prices to sale prices. In July 2024, 86% of homes sold for more than their list price, indicating that producers were able to capture a positive surplus (Rocket Mortgage 2024).

Consumer surplus, on the other hand, is more challenging to measure accurately without extensive data. One possible approach would be to calculate the difference between the maximum sale price for various home configurations (e.g., 2-bedroom, 2-bathroom vs. 3-bedroom, 2-bathroom homes) and the average sale price for those configurations. However, gathering this data is difficult, so a conceptual understanding will have to suffice in this context.

Elasticity in the housing market is a complex topic, but nationwide trends suggest that housing is becoming less elastic. In Berkeley, the housing market is divided between luxury homes (those

priced over \$1 million) and homes that are more affordable to a broader range of buyers. As income rises, the demand for housing typically increases, which explains why Berkeley's median home sale price is higher than that of the Bay Area as a whole—\$1.55 million compared to \$1.44 million. Furthermore, homes in Berkeley sell quickly, with most homes on the market for only 14 to 15 days. This short time frame reduces elasticity, as buyers have less time to respond to changes in prices. Given the scarcity of substitutes for housing, the elasticity of demand is further reduced (Center for Economic and Policy Research 2020; Inspection Support 2022; Redfin 2024; Silicon Valley 2024; World Population Review 2024; Axios 2023).

Overall, numerous factors contribute to the fluctuations in Berkeley's housing market. However, we can simplify our analysis by focusing on the broader supply and demand forces that drive price changes. As with any economic analysis, many assumptions are made regarding definitions and housing types. In conclusion, the price of homes in Berkeley is influenced by a combination of local, regional, and national factors, all of which must be considered by anyone involved in buying, selling, or developing property in the area.

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